Costing Model

Inventory Valuation, COGS Decomposition & Margin Framework

Steering Committee — Executive Summary

March 2026

Valuation Method — Option B+ DECIDED

SteerCo decision 23 March 2026 — FIFO + Anglo-Saxon COGS + reporting layer if needed

Standard Cost

Not recommended

- FG valued at budget price
- 4 variance accounts needed
- Hides reality until variance analysis
- Manual revaluation at year-end

Option B+ : FIFO + SKU Averaging

Confirmed — 23 Mar 2026

- **Books:** Lot-based actual cost (FIFO)
- **Reports:** Quarterly SKU-averaged margin
- Full traceability lot-by-lot
- Self-reconciling — no variance accounts
- Auditor's preference (IAS 2.23)

Weighted Average

Ruled out

- Smooth cost, no lot noise
- Destroys lot traceability forever
- Cannot trace cost back to MO
- Prevents specific lot analysis

What "FIFO" really means at Kebony: Each lot carries its own actual production cost. FIFO is the *default reservation order* (oldest lot proposed first), not a cost averaging method. Operators can override and pick any lot. The cost follows the specific lot sold — true specific identification per IAS 2.23.

COGS Decomposition — 5 Cost Components

Every invoice line carries a full cost breakdown for margin analysis

Component	Source	Method
Wood (raw material)	PO price + landed cost	Actual per lot (FIFO layer)
Chemicals	Ready-mix MO cost	FIFO per mix batch
Conversion	Std rate × **actual** hours	Stacking + Autoclave + Dryer
Machining (RDK)	Two-step: std at MO, actual at bill	Settles back to FG/COGS
Packaging	BOM component	FIFO per packaging lot

Anglo-Saxon model: All 5 components stay on the balance sheet (inventory) until the product is sold. COGS hits P&L only at invoice time. This replaces the current Napoleonic model where conversion costs are expensed at production.

US Entity — Additional Cost Layers

On top of product COGS, four accrual-based costs are computed per invoice line:

Accrual	Rate	Trigger
Marketing	4% / 1.5%	Distributor only
Sales Rep	Variable	If rep assigned
Royalties	5%	Wood, no consignment
Management Fees	14% / 5%	No consignment

Full margin = Revenue - COGS - Freight - Accruals - Adjustments

Visible on every posted invoice. Recomputable on demand.

Implementation & Key Decisions

What's needed to go live with Option B+

Timeline

When	What	Effort
Pre Go-live	Product categories & WC setup	Config
Go-live July 2026	FIFO as system of record Per-lot margin on every invoice COGS analytical distribution RDK settlement automation	8 days
Q4 2026	Quarterly SKU margin averaging (reporting layer — no journal entries)	2 days

Decisions — Confirmed

SteerCo 23 March 2026 — Approved

- ~~Confirm Option B+~~ — **Anglo-Saxon + FIFO + reporting layer if needed**
- ~~Confirm switch from Napoleonic to Anglo-Saxon posting~~ — **Confirmed**
- ~~Confirm Belgian GAAP & IFRS IAS 2 compliance~~ — **Validated**

Key Benefits

- **Full traceability:** Sale → Lot → MO → actual cost breakdown
- **Self-reconciling:** No variance accounts, no year-end revaluation
- **Two views from one GL:** Lot-level precision in books, smoothed SKU margin in reports
- **Auditor-preferred:** Specific identification under IAS 2.23